Critical Success Factors and KPIs

Theju Mudda

KPIx Evangelist

Agenda

- SRE and KPIs
- Problems
- The Burning Platform
- Four type of measures
- 7 characteristics of a KPI
- KPI myths
- Critical Success Factors
- Next Steps

SRE

- Ensures system reliability, availability, and performance at scale
- Uses automation, observability, and incident management to reduce operational risk
- Balances innovation speed with system stability through measurable SLOs/SLIs and KPIs

> *“SRE provides the operational discipline, while the right KPI methodology ensures the right reliability behaviors are measured, prioritized, and improved.”*

Problems

- Too many measures
- Lacking “outside-in” approach
- No linkage to strategic/operational goals.



The Burning Platform

All measures called KPIs

Too many measures



Measuring too late



measures not linked

All measures have a dark side



So What are KPIs?
Two KPI Stories

- Airline



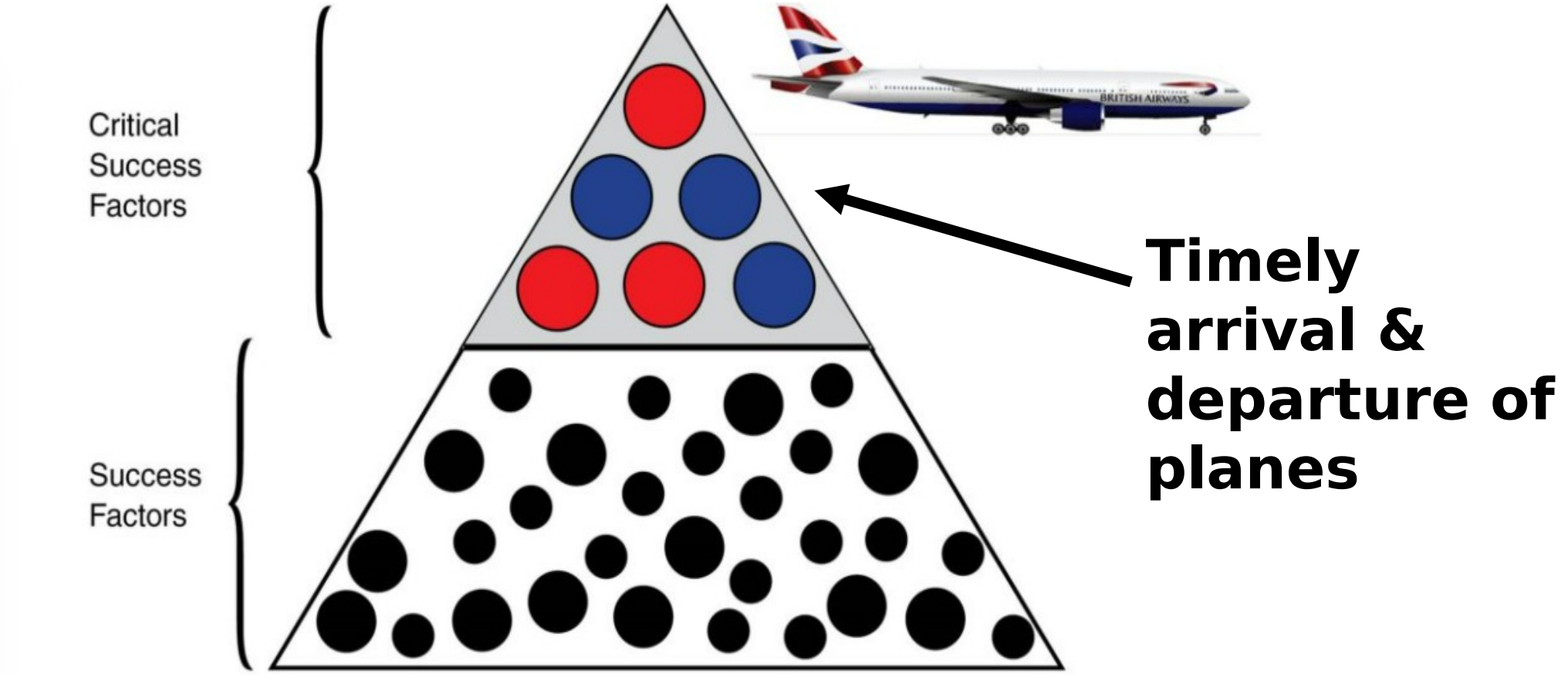
- Freight forwarding company



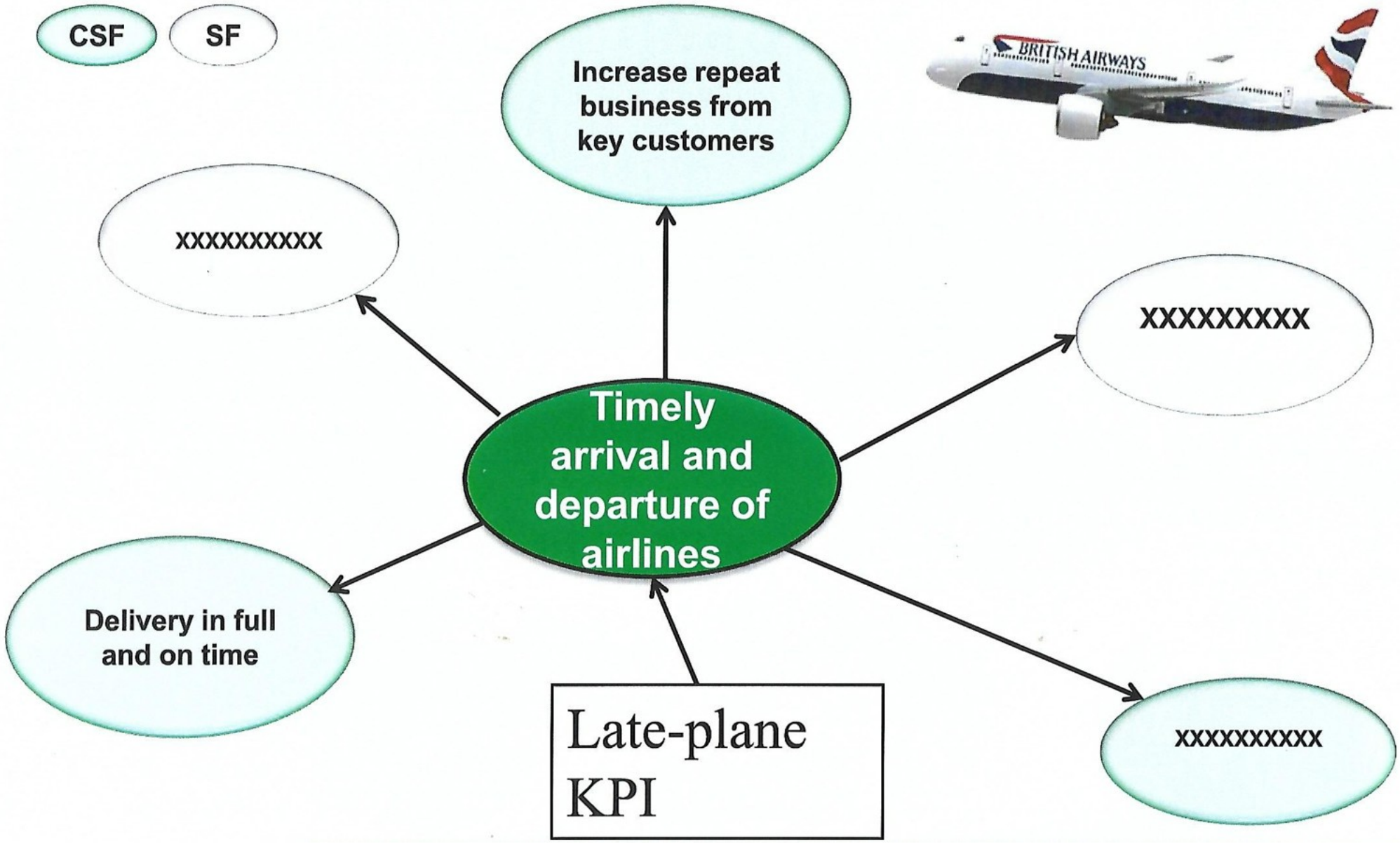
KPI Example – an airline



The importance of knowing Critical Success Factors



“Late-planes” KPI



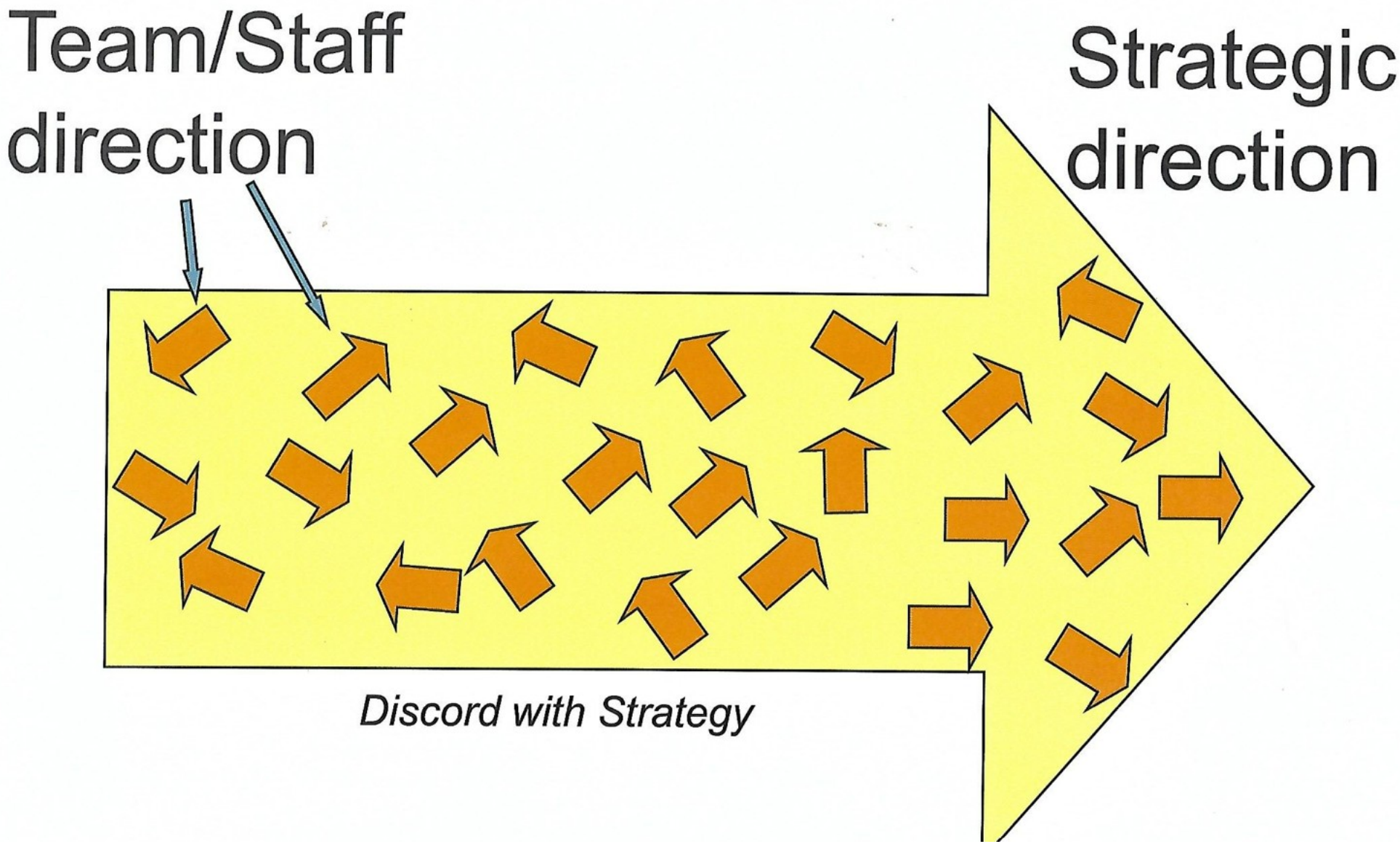
Key Takeaways from KPI Examples

- ✓ Identification of KPIs is very subjective – in-house domain expertise is a must.
- ✓ KPI should be monitored frequently (daily or 24/7).
- ✓ Manager can contact someone who understands the measure and know what corrective action is required.





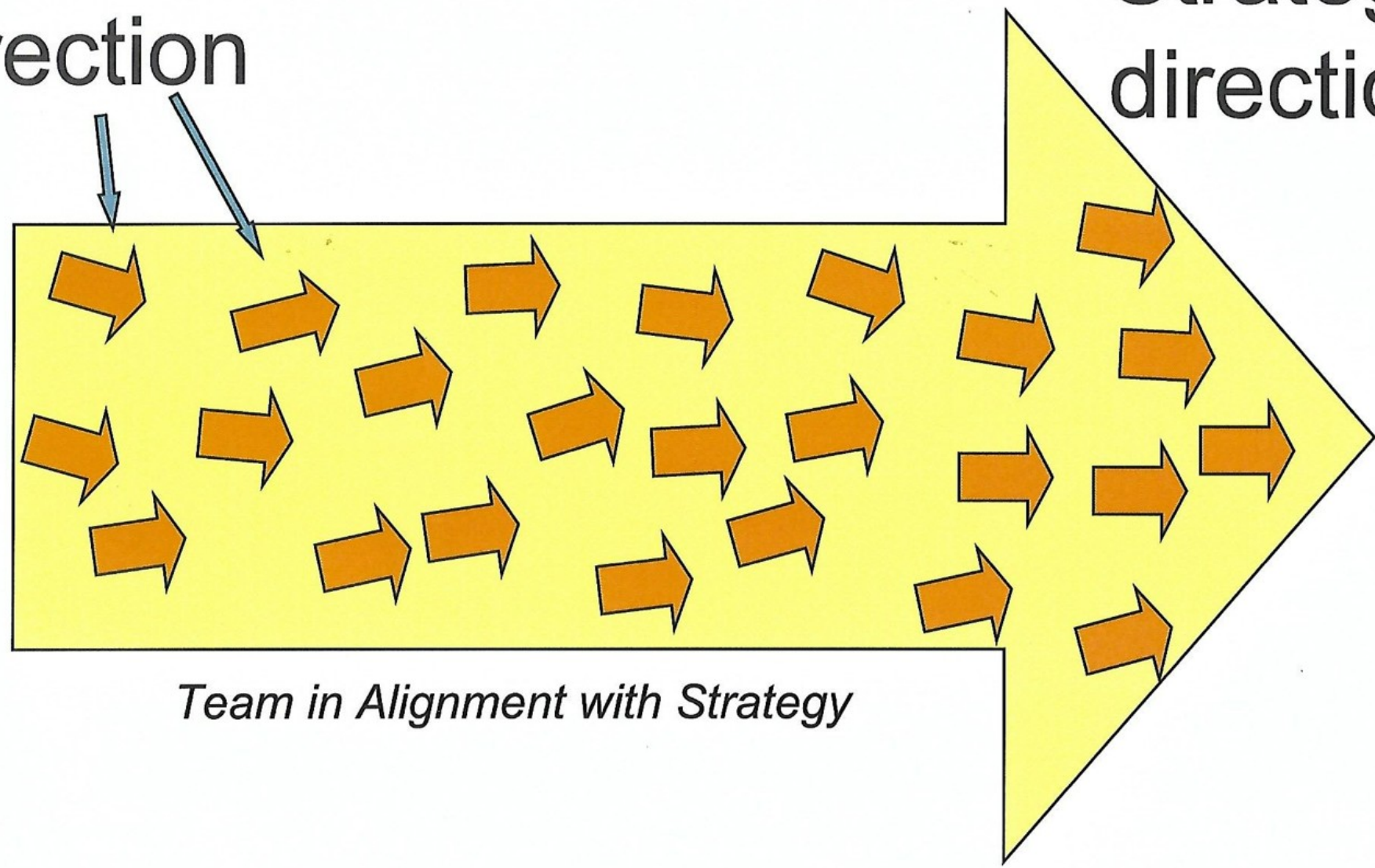
Changing This



To This

Team/Staff direction

Strategic direction

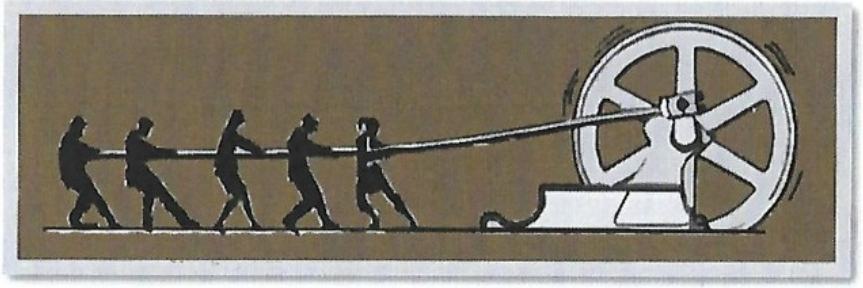


Team in Alignment with Strategy

Key Result Indicator (KRI)

Examples:

- Return on capital employed
- Net profit before tax
- Employee satisfaction
- Net Profit on key product lines

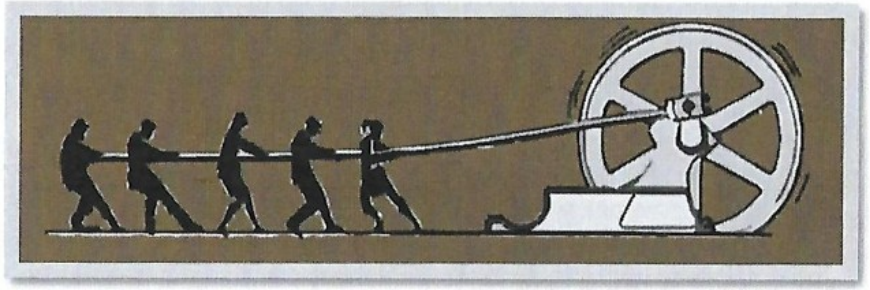


- KRIs are for Board
- Gives (more) overall and (more) important summary of how organization is performing in a particular area.
- Tends to focus on the external CSFs as seen through the board members' eyes.

Result Indicator (RI)

Examples:

- Sales made yesterday
- Number of initiatives implemented from the recent customer satisfaction survey
- Weekly hospital bed utilization

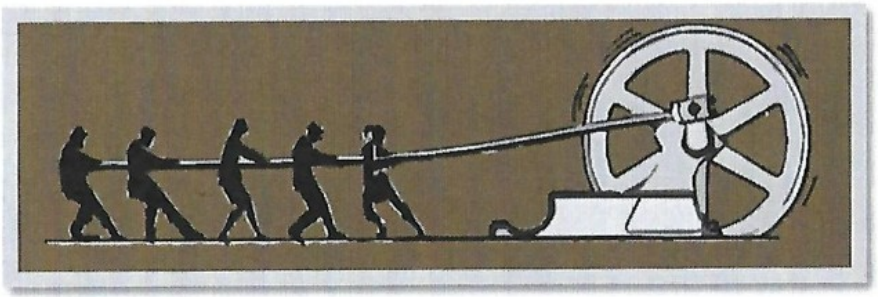


- RIs are for SMT
- Tell management how teams are combing to produce results.

Performance Indicator (PI)

Examples:

- Number of training hours booked for next month, months two and three, months four to six – in both external and internal courses.
- Late deliveries to other (non-key) customers

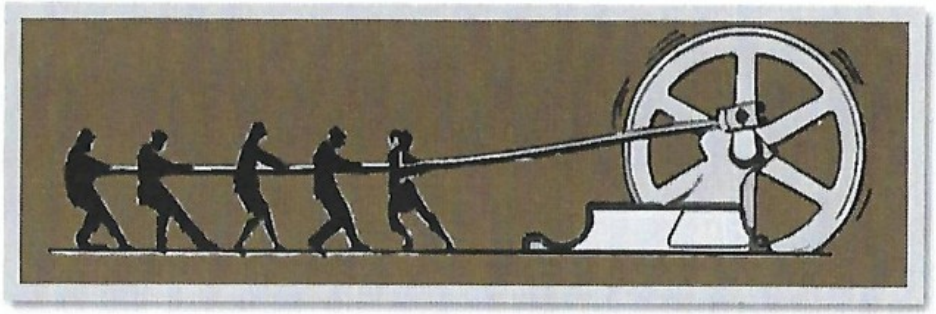


- Tell management what teams are delivering

Key Performance Indicator (KPI)

Examples:

- Planes currently over two hours late
- Late deliveries to key customers.
- List of late projects, by manager, reported weekly to SMT.



- Tell management how organization is performing 24/7, daily, or weekly in their CSFs.
- By acting, management can increase performance dramatically.

Definition of a KPI

KPIs focus on the areas of organization’s performance that are critical for the ongoing and future success.

Advantages of a KPI System

- **KPI will help to lead**
- **KPI is a tool for transformation**
- **KPI helps to align staff**

The 7 Characteristics of KPIs

- Non-financial measures (not expressed in $)
- Timely: Measured frequently (daily, weekly, 24/7)
- Management focus
- Simple: All staff understand
- Team-based: Responsibility tied down to a team
- Significant impact: Major impact on org. CSFs
- Limited dark side

Importance of measuring current and future actions

- **Past measures:**

e.g. Number of late planes last week/last month



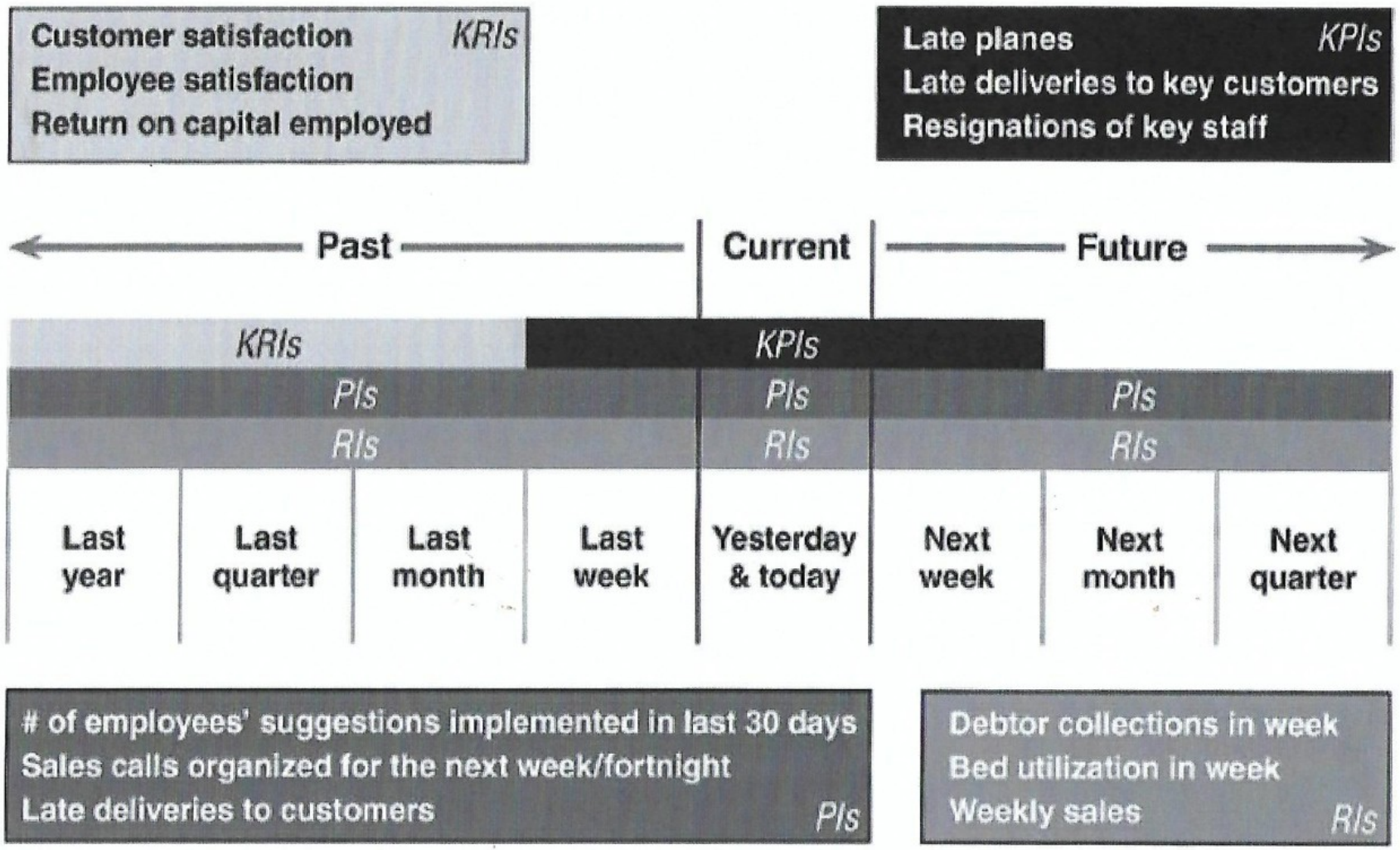
- **Current measures:**

e.g. Planes more than two hours late (updated continuously)

- **Future measure:**

e.g. Number of initiatives to be commenced in the next month/next two months to target areas which are causing late planes.

Differences in the Four Measures and the Time zones



KPI Myth: Monitoring Monthly Performance measures will improve performance

- Monthly measures seldom change anything

- Information is too late



it is as useful as telling an owner that his prize horse escaped the stables, sometime last month!

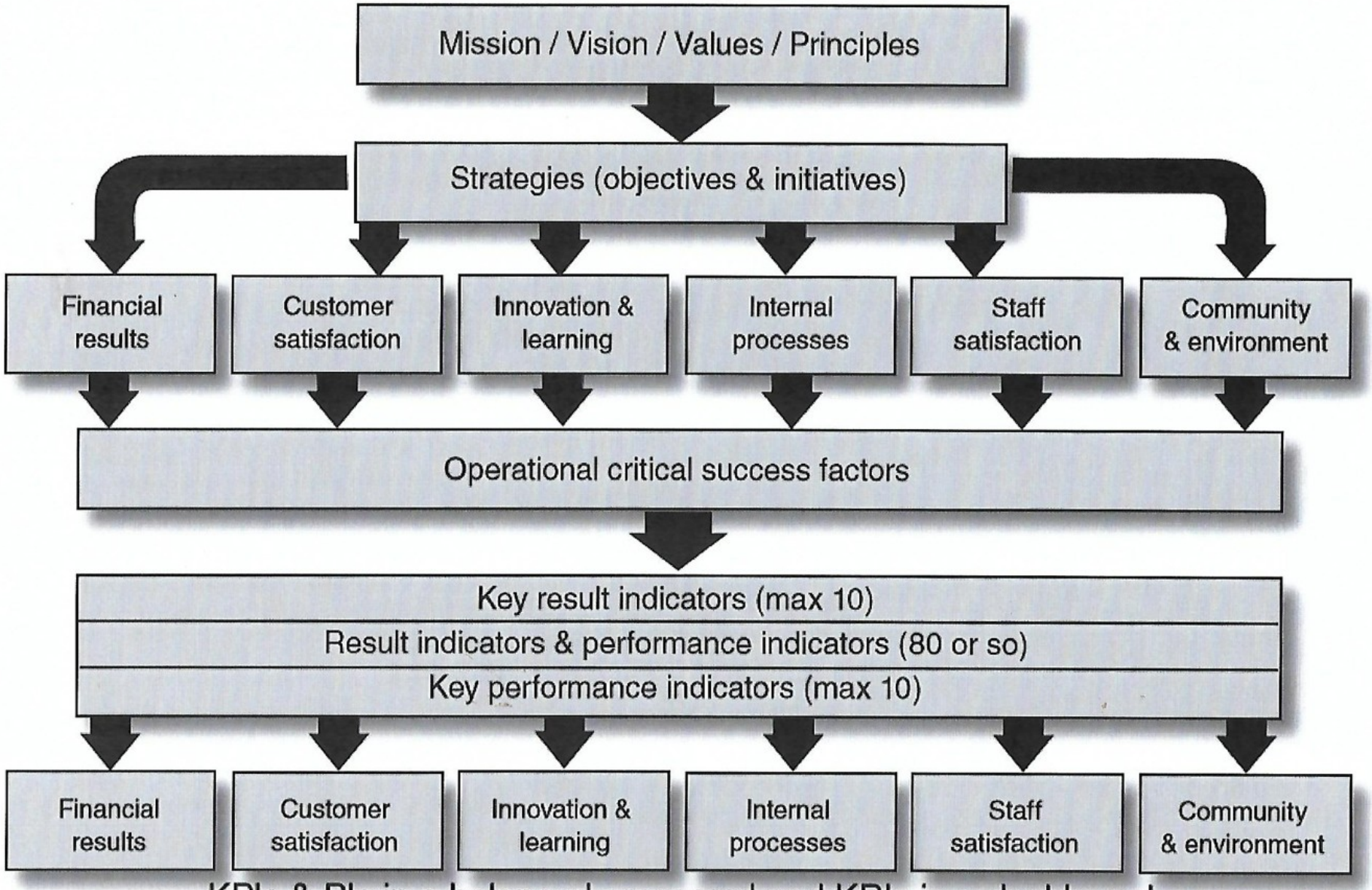
KPI Myth: All Performance measures are KPIs

- We need to have a definition of KPI
- Monthly measures are too late
- Some measures are not key … they are simply PIs



- There are four types of measures

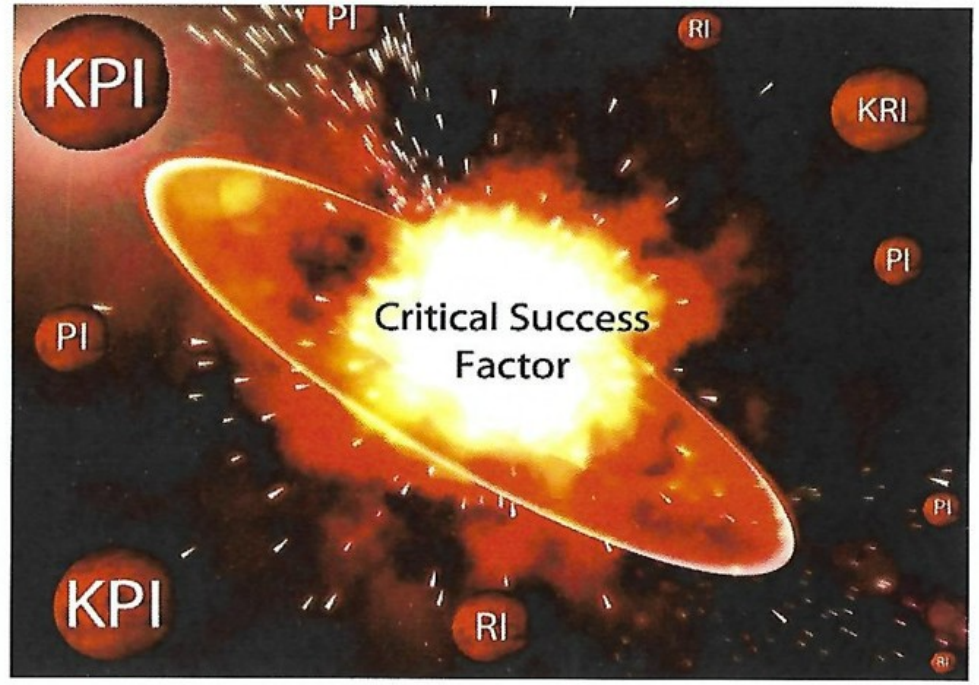
Critical Success Factors



KPIs & PIs in a balanced scorecard and KRIs in a dashboard

Definition of Critical Success Factor

Critical success factors is a list of issues or aspects of organizational performance that determine ongoing health, vitality and well-being.



Critical success factors are operational issues or aspects that need to be done well day-in/day-out.

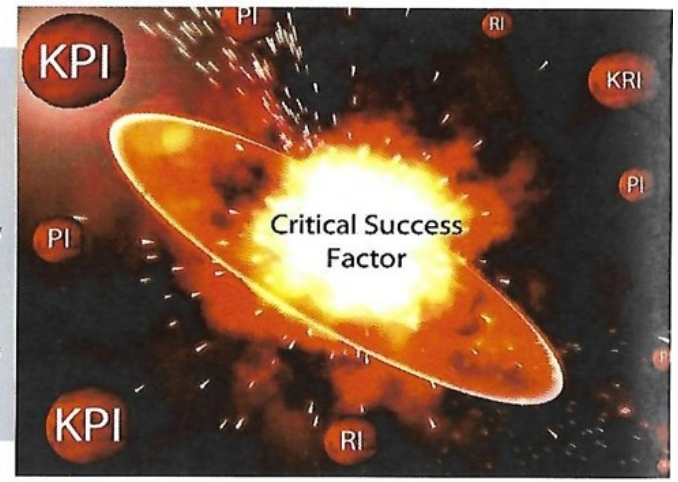
Critical success factors creates alignment between teams in organization.

Without clarity on CSFs, managers will prioritize work based on their view as to what is important – *"what is important to me is important to the organization."*

The organization's critical success factors need to be ascertained and communicated to all staff

- Staff should be linking their daily activities to what is important to the organization.
- The five to eight CSFs should be on every wall
- CSFs should drive the performance measures and reporting

Not knowing organization's CSFs is like going to the Soccer World Cup without a goalkeeper



Importance of getting CSFs right

- Use of relationship mapping process to find the top 5 to 8 CSFs
- Wording of CSFs is critical
- Measures become more specific

Only few Orgainzations …

- Know their CSFs
- Word their CSFs appropriately
- Communicate CSFs to their staff

Why Organizations fail in getting measures right

- Call all measures as KPIs
- Not linked to CSFs
- Designed by untrained staff

Want to know more about KPIx?

- Visit: **KPISuccess.in**
- LinkedIn: www.linkedin.com/in/thejaswim
- Tag me on your LinkedIn post and I will invite you for a webinar.

Thank You

Theju Mudda

KPIx Evangelist

KPISuccess.in